and furnishing of annual statements. The minimum percentage of the issue to be reserved for the public was reduced to 25 per cent from 60 per cent. When the rule was first introduced in 1993, FIIs and mutual funds had not yet begun to invest in a big way. But as their domination increased over the years, retail investors would gradually be marginalized in the public issue market.

On paper at least, SEBI had put in sufficient checks and balances to avoid a Wild West setting in the primary market. In reality, it was not too difficult for unscrupulous promoters and their merchant bankers to get around the rules, as the MS Shoes fiasco in early 1995 would show.

Usually, when a company received an acknowledgement card from SEBI clearing its prospectus, the promoter would take a bridge loan – a short-term loan – from banks against the expected IPO proceeds. The money borrowed from the bank would be used to ramp up the price in the grey market to ensure the stock quoted at a big premium on listing day. If the company was already listed and doing a follow-on public offering, the bank loan would be used to boost the stock price in the secondary market.

It was not just the promoters and merchant bankers who were greedy. An ex-sheriff of Mumbai and a respected name in social circles was known to charge Rs 5 lakh in shares and Rs 5 lakh in cash to allow his name to be listed as a director on the board of some of the IPO-bound companies. This gentleman would stay on the board for a few months post-listing, and then head for the next company that was looking for credible names.

In 1994-95, over 1,300 companies raised Rs 21,000 crore through public issues. That figure would not be surpassed for some years to come. Some quality companies were part of the procession too, though investors would realize their true worth only many years later.

The boom in the primary market fired up the secondary market, and for players like me, there was money to be made in the secondary market and in the booming grey market for public issues. By mid-September 1994, the Sensex had climbed to a high of 4,643. From then onwards it would be downhill for a long time to come, even though most brokers had taken it for granted that a 5,000 for the Sensex was less than a couple of months away.

That year, I got married to Bina, a match arranged by my parents. I was reluctant to take time off for my honeymoon because of the action in the stock market. But it was GB who prevailed on me to take a break.